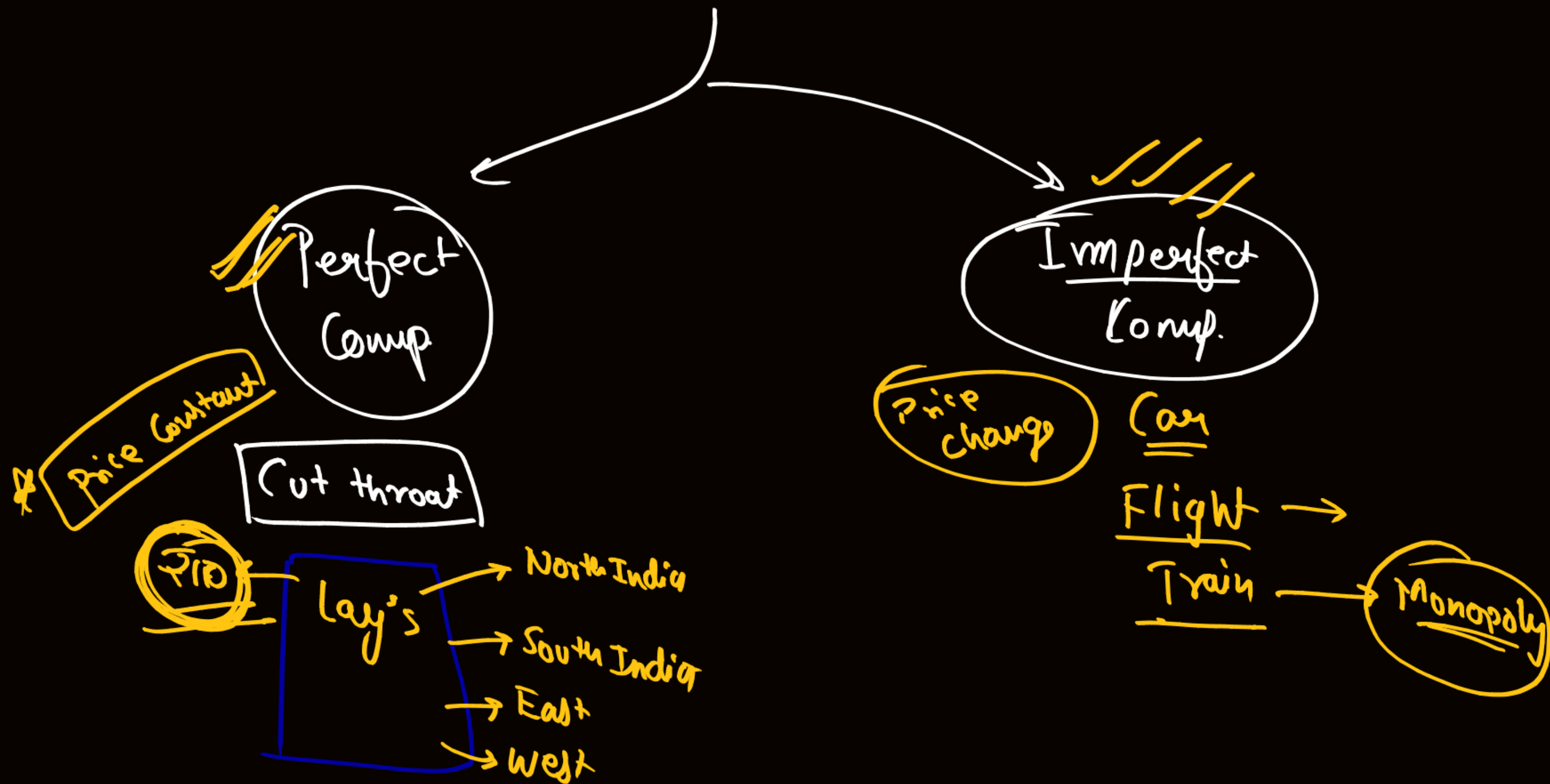


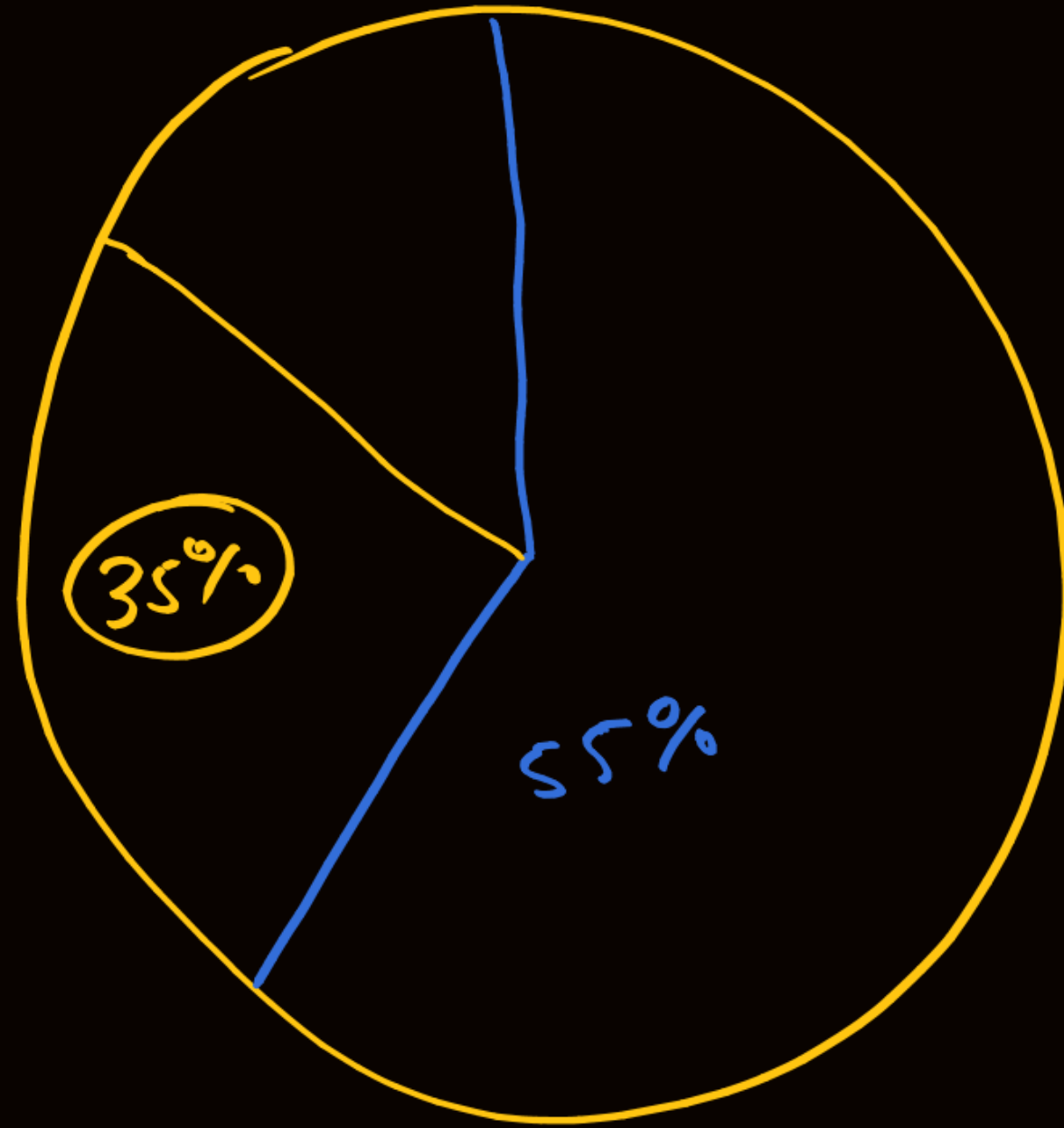
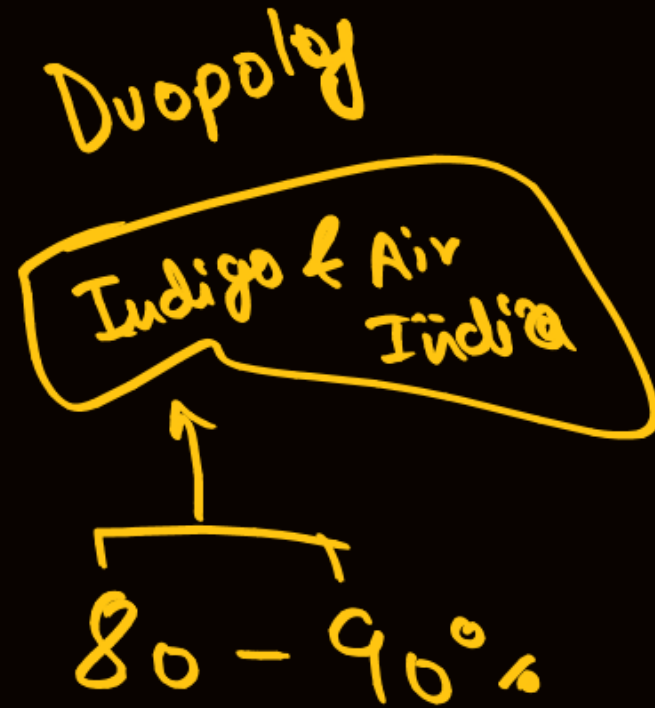


MICROECONOMICS

REVENUE

Chapter 7 | Lecture 2





Indigo = 55%

Air India → 35%

Air Asia

Air Express

Vistara

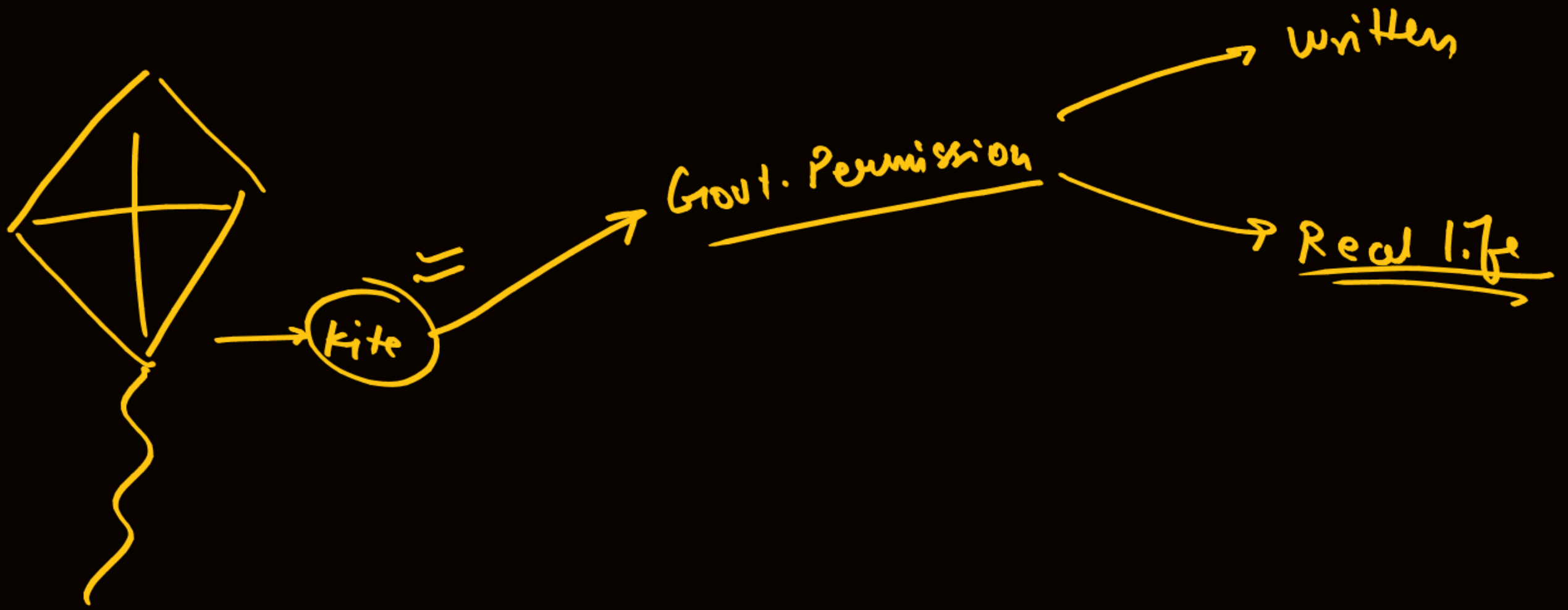
Akasa

Spice Jet

TATA

A handwritten list of airlines. "Indigo = 55%" is written in blue. "Air India" is followed by an arrow pointing to a circled "35%". Below these are the names of other airlines: "Air Asia", "Air Express", "Vistara", "Akasa", and "Spice Jet". A red bracket groups "Air India", "Air Express", "Vistara", "Akasa", and "Spice Jet", with an arrow pointing to a circled "TATA", indicating that these airlines are owned by TATA.

Gyaaan
Session



RELATIONSHIP BETWEEN REVENUE CONCEPTS

TR AR MR

Perfect Competition

When Price remains Constant

(It happens under Perfect Competition). In this situation, firm has to accept the same price as determined by the industry. It means, any quantity of a commodity can be sold at that particular price.



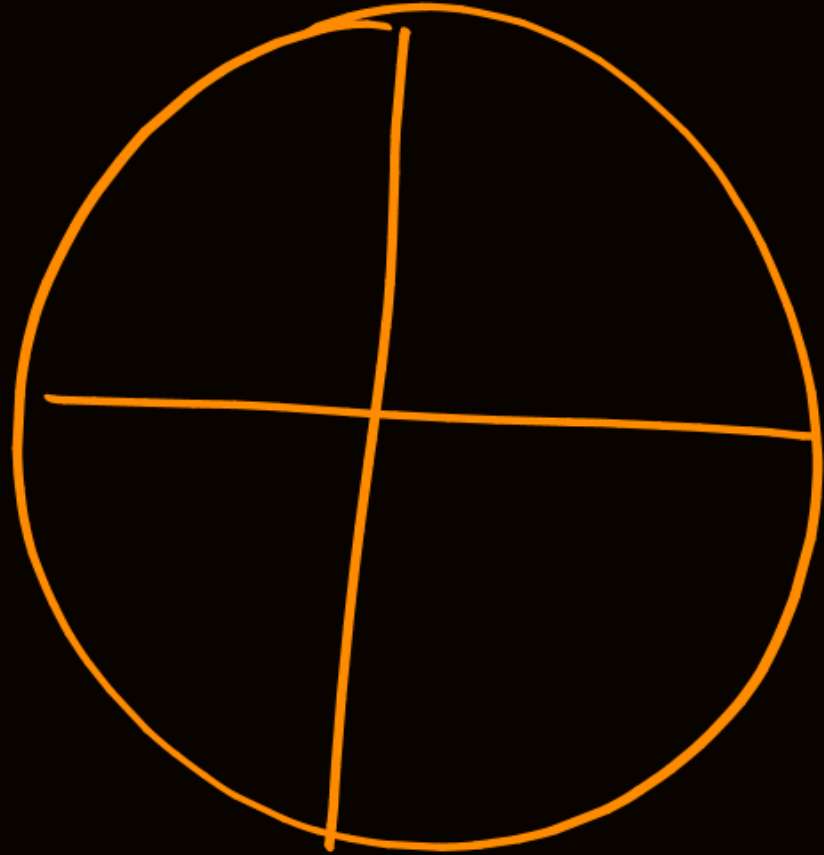
TR AR MR

Imperfect Competition

When Price Falls with rise in output (It happens under Imperfect Competition). In this situation, firm follows its own pricing policy. However, it can increase sales only by reducing the price.



1 Pizza



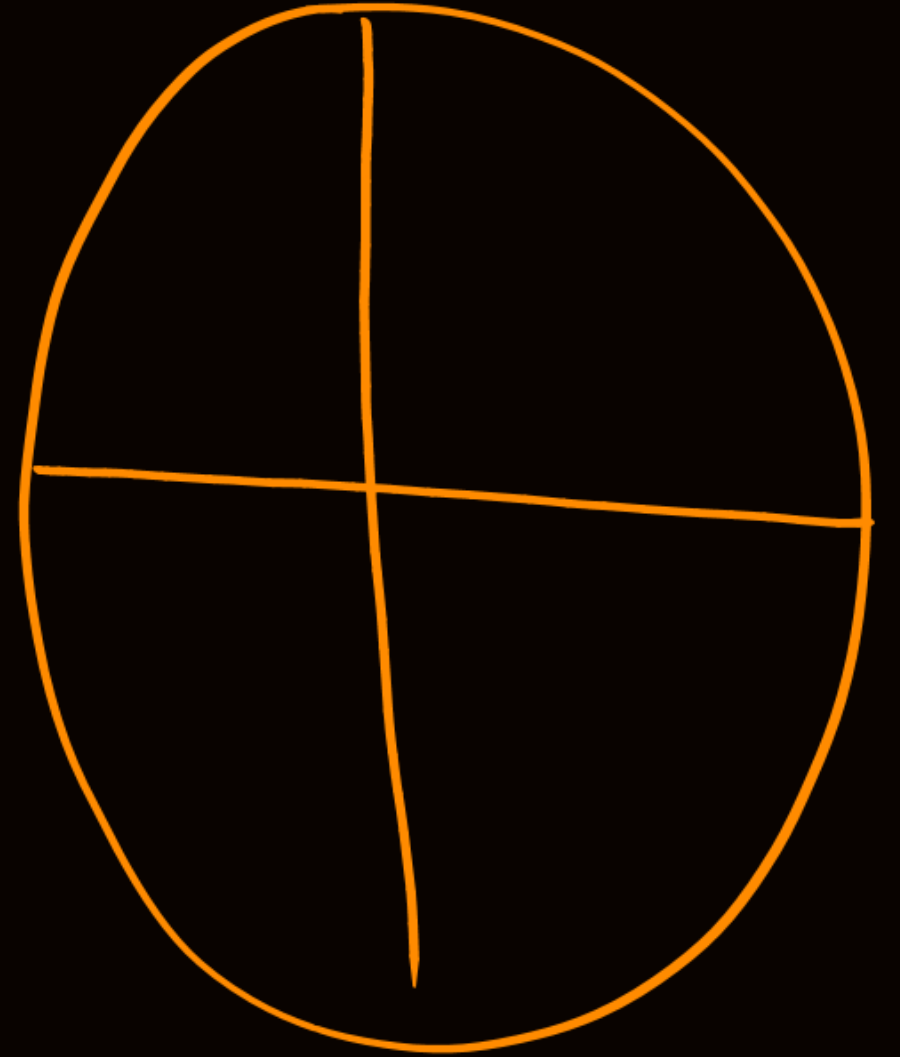
₹500

2 Pizza



~~₹500~~ → 50% off
₹250

3 Pizza



~~₹500~~ → 75% off
₹125

* Price Fall when output R'se

$$\text{Price} = \text{AR} = \text{MR}$$

Perfect Competition

Relationship Between AR & MR (When Price remains Constant)

AR and MR (When Price remains Constant)

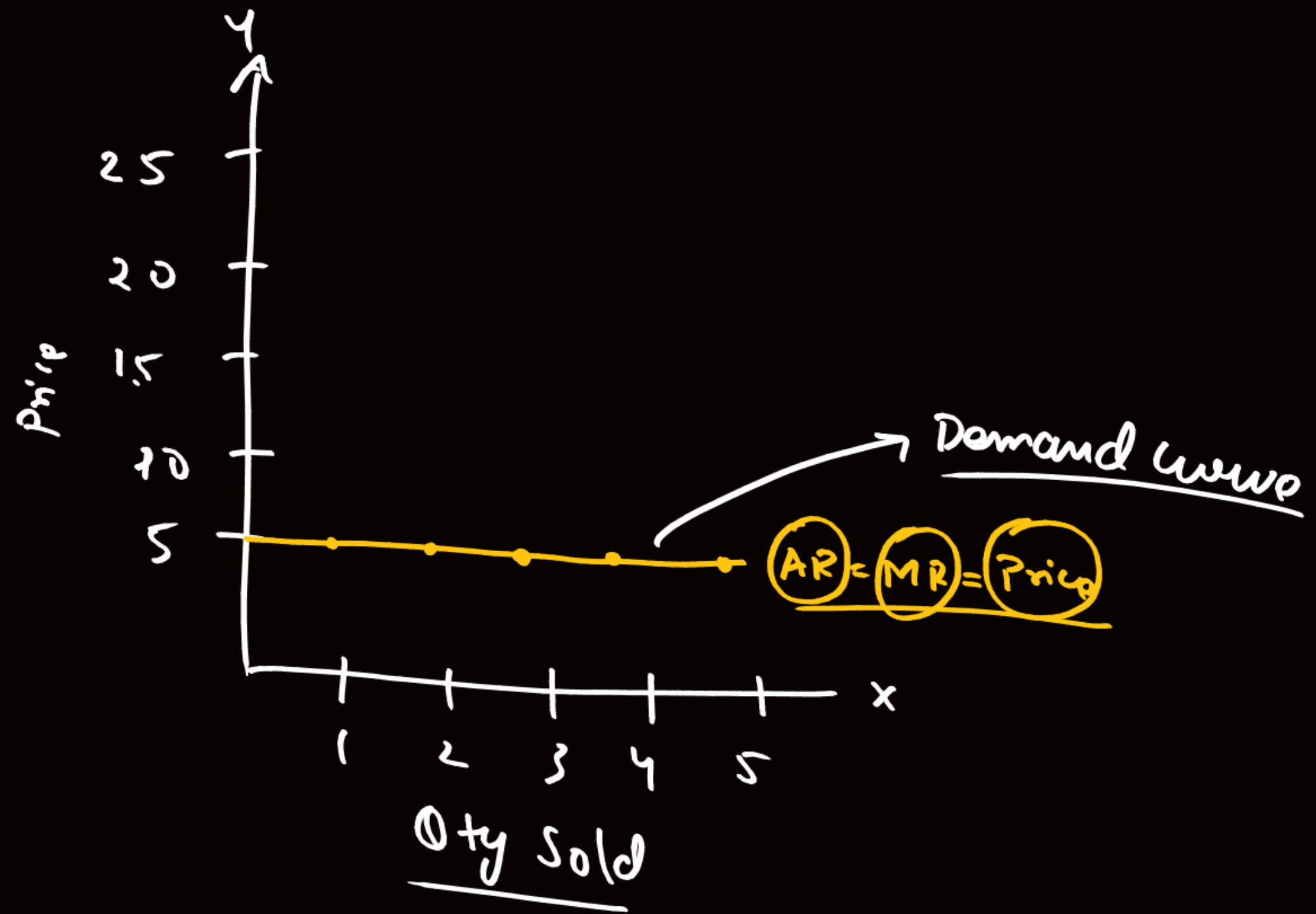
Units Sold	Price / AR (₹)	TR (₹)	MR (₹)
1	5	5	5
2	5	10	5
3	5	15	5
4	5	20	5
5	5	25	5

$$\text{AR} = \text{MR}$$



$$\text{AR} = \frac{\text{TR}}{Q}$$





Relationship Between AR & MR (When Price remains Constant)

- **Equal to Price:** Both AR and MR are equal to the price of the product in perfect competition because firms are price takers.
- **Horizontal Demand Curve:** The demand curve faced by an individual firm is perfectly elastic, implying $AR = MR = \text{Price}$. $E_d = \infty$
- **Constant AR and MR:** Since the price remains constant regardless of the quantity sold, AR and MR do not change with output. 5, 5, 5, 5, 5
- **AR = MR:** For every additional unit sold, the additional revenue (MR) is equal to the revenue per unit (AR), as price is fixed.
- **Profit Maximization:** A firm maximizes profit by producing where $MR = MC$ (Marginal Cost), which also equals price in perfect competition.

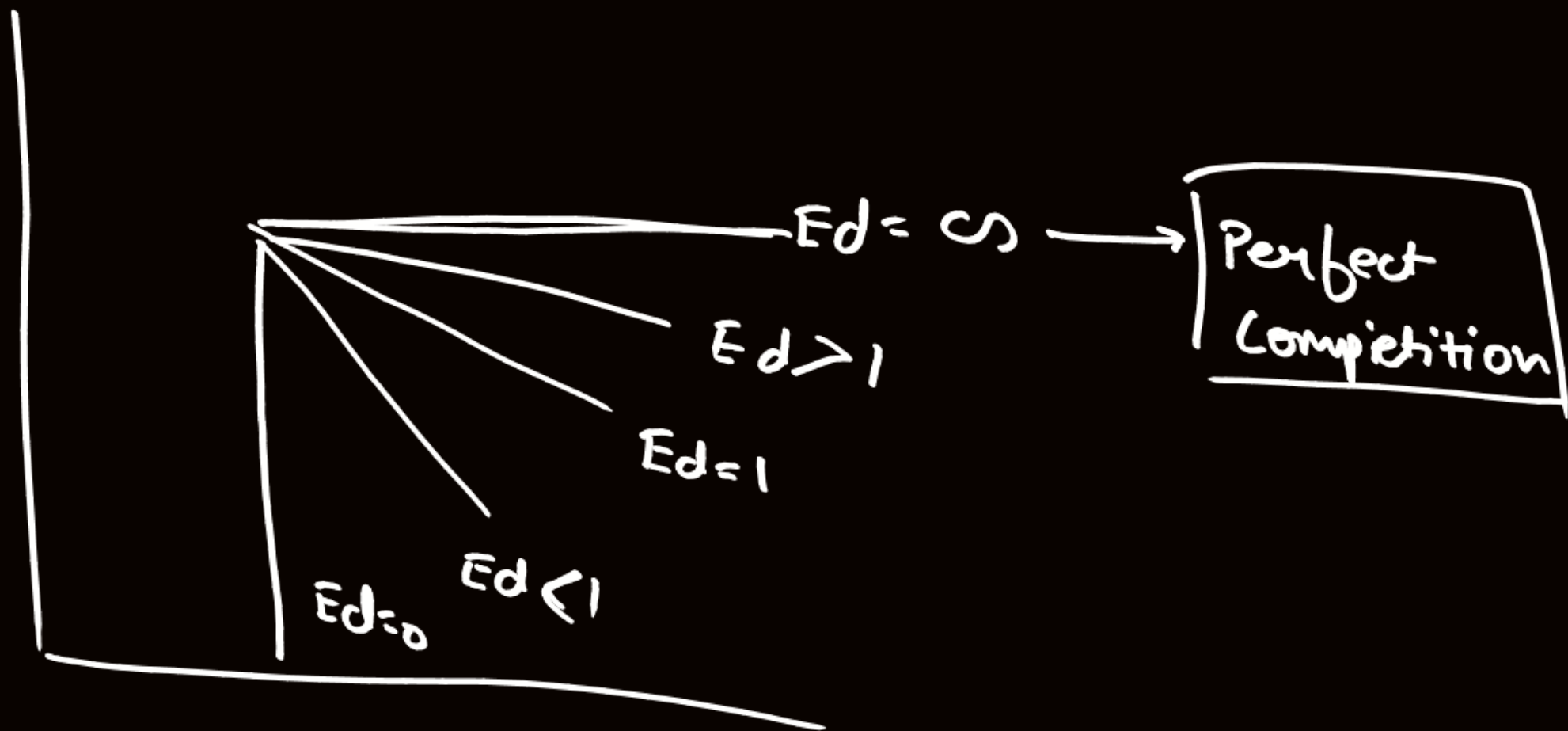
$$x + 5 \text{ AR} = \text{Price}$$

$$x \text{ \& } x + 5 = 5 \text{ MR}$$

Elasticity of Demand

Degree

Flatter the
curve more
elastic it is.



Relationship Between ~~AR~~ ^{TR} & MR (When Price remains Constant)

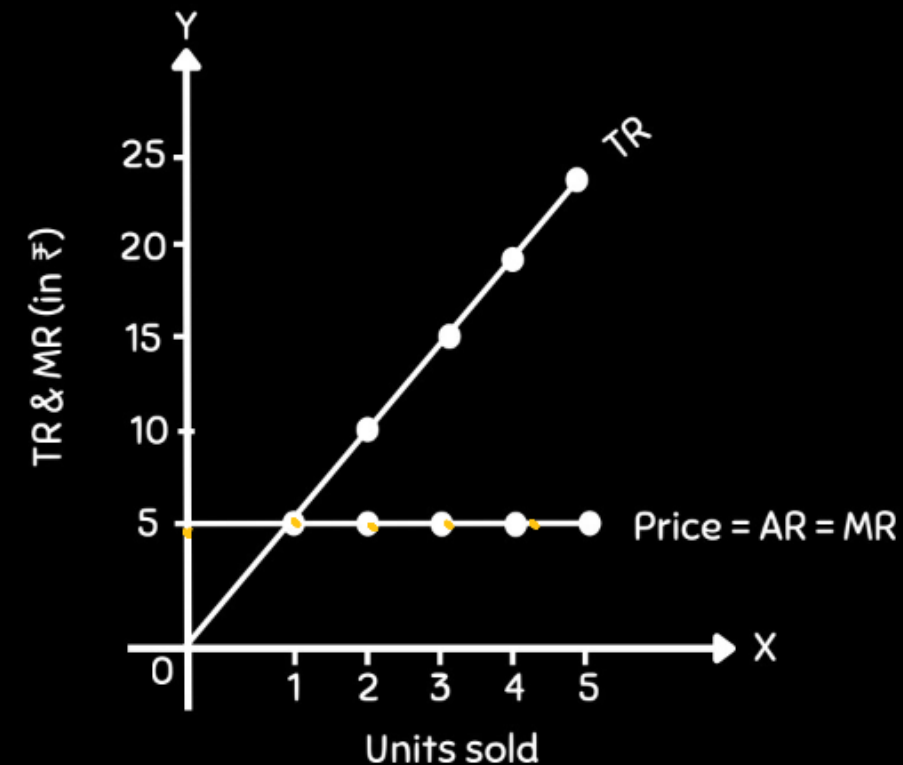
Relationship Between TR & MR (When Price remains Constant)

TR and MR (When Price remains Constant)

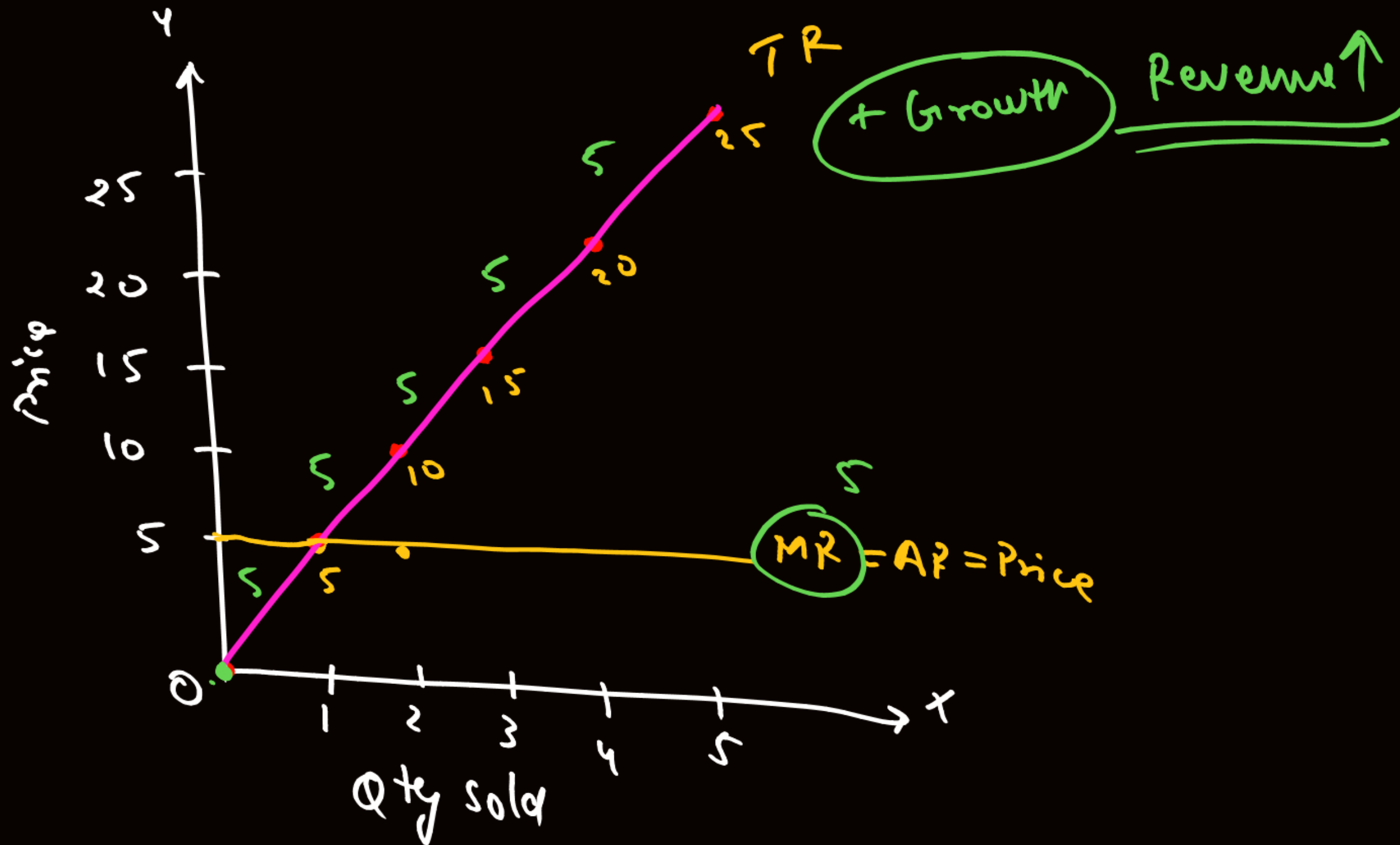
$$TR_n - TR_{n-1}$$

Units Sold	Price / AR (₹)	TR (₹)	MR (₹)
1	5	5	5
2	5	10	5
3	5	15	5
4	5	20	5
5	5	25	5

Relationship Between TR & MR
(When Price remains Constant)



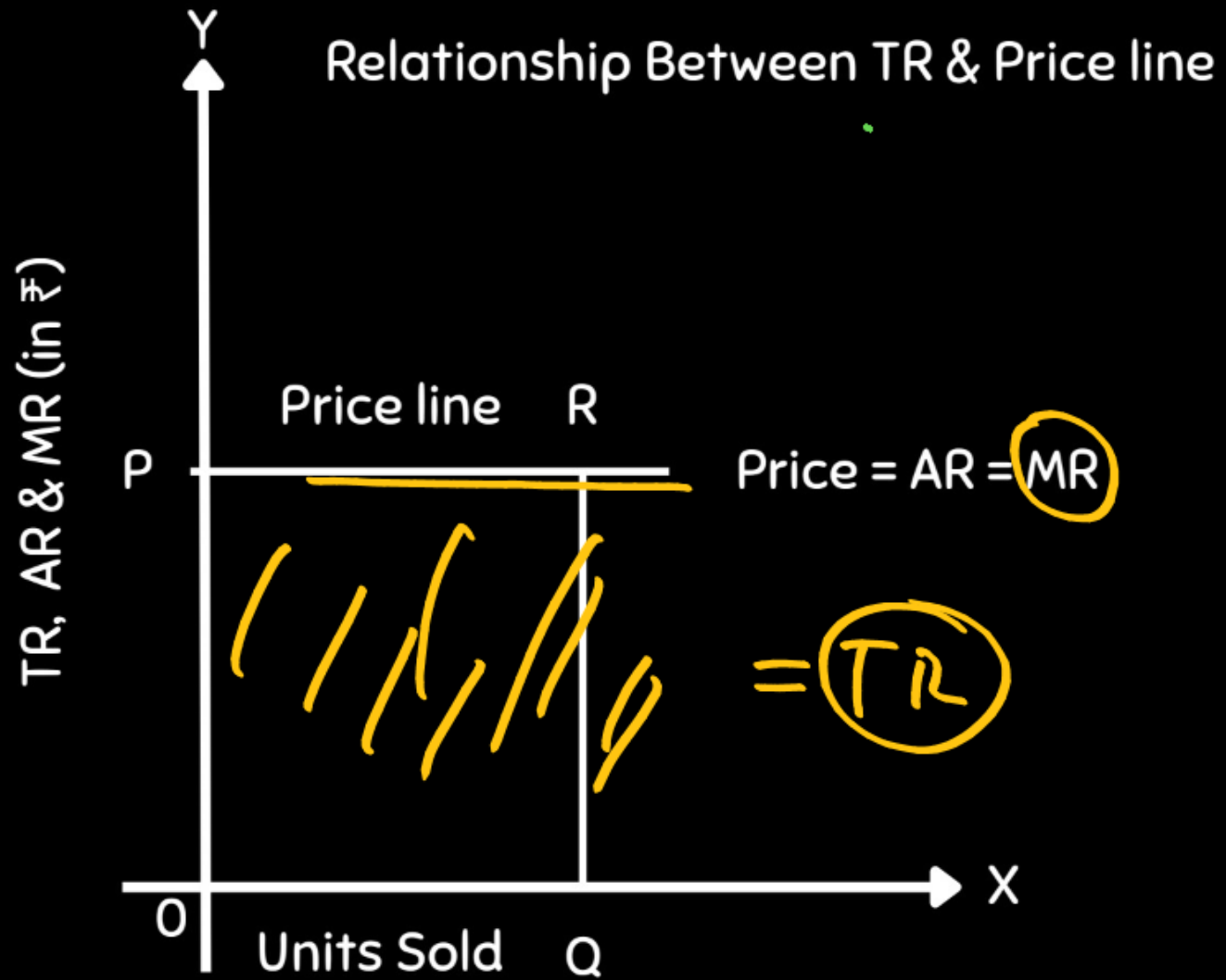
Unit	TR
0	0 ✓✓
1	5
2	10
3	15
4	20
5	25



Relationship Between TR & MR (When Price remains Constant)

- ✓ **Linear Relationship:** In perfect competition, the TR curve is a straight line with a constant slope, as price remains fixed.
- **MR is Constant:** Marginal Revenue (MR) is constant and equal to the price, as each additional unit sold contributes the same amount to TR.
- **TR Increases Proportionally:** TR increases by the same amount with each additional unit sold because the firm is a price taker.
- **MR = Slope of TR:** The slope of the TR curve represents MR, which is constant in perfect competition.
- **TR at Zero Output:** When output is zero, TR is also zero because no units are sold.
- **Positive TR Growth:** As output increases, TR grows positively without diminishing returns because MR is constant.

Relationship between TR and Price line



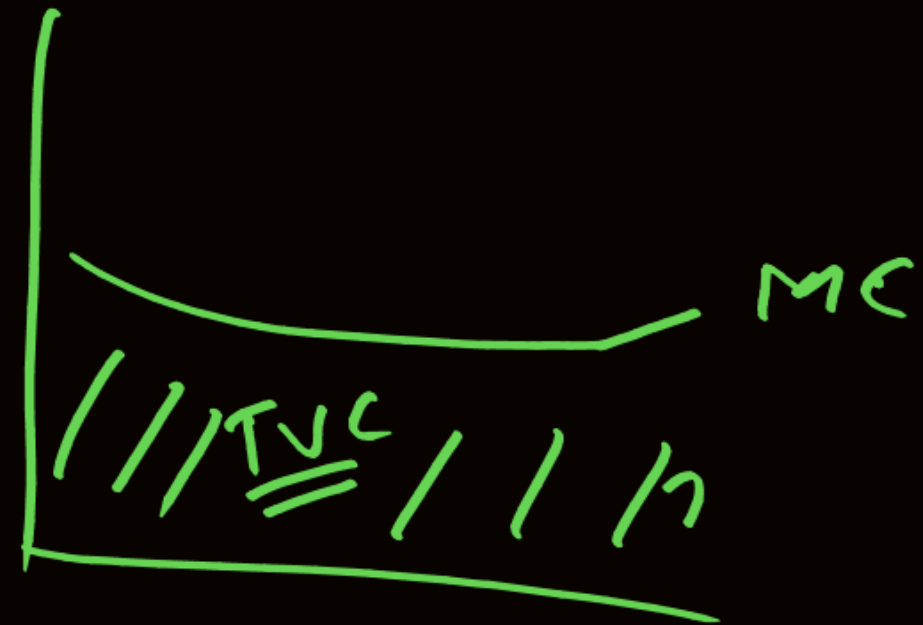
When price remains constant at all the levels of output, then $\text{Price} = \text{AR} = \text{MR}$. Therefore, price line is the same as MR curve. Also, $\text{TR} = \sum \text{MR}$. So, the area under MR curve or price line will be equal to TR. In Fig. 7.3, TR at OQ level of output = $\text{OP} \times \text{OQ} = \text{Area under price line}$.

Q	Price P/AR
1	5
2	5
3	5
4	5
5	5

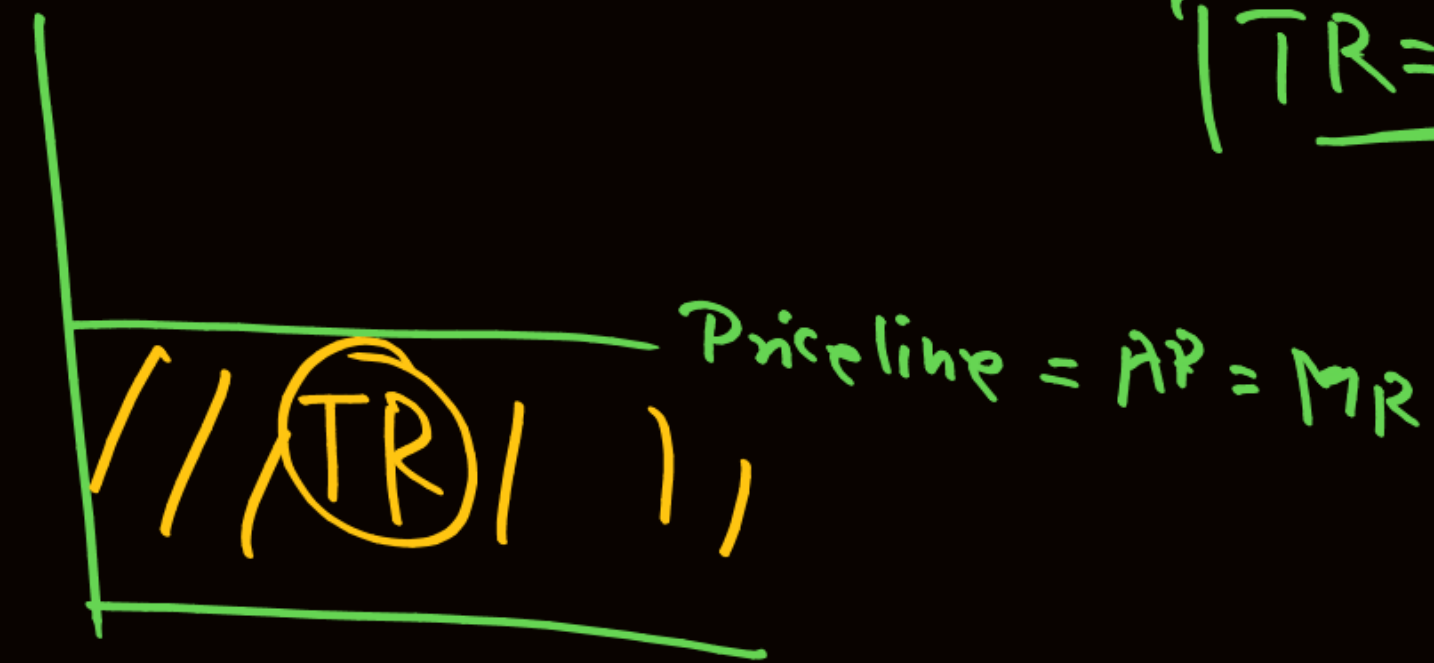
Price = AR = MR

(MR)

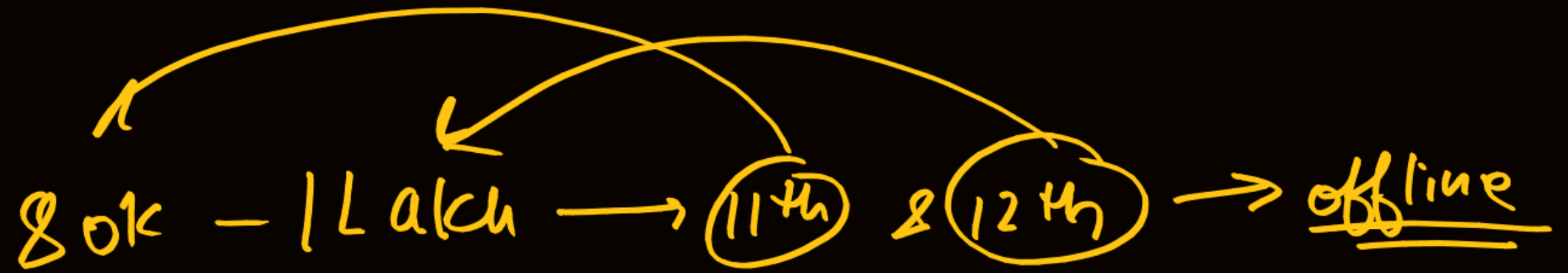
TR = $\sum \text{MR}$



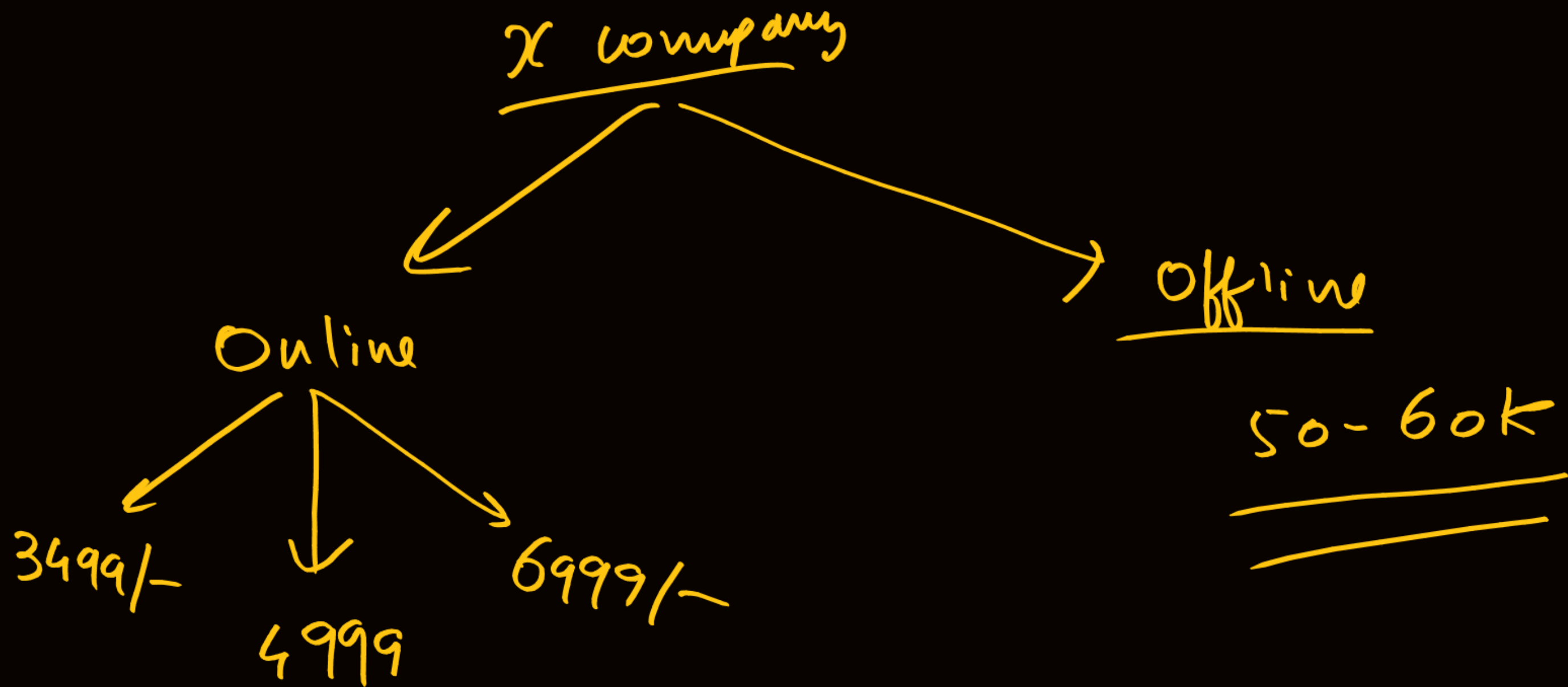
$$\boxed{TR = \sum MR} //$$



Unit	TR	MR
1	5	5
2	10	5
3	15	5
4	20	5
5	25	5
✓		25 TR 25 $= \sum MR$



29991- ← Next toppers
34991-



DOUBT

